CISI Diploma in Investment Compliance

Regulation and Compliance

Chapter 5 Portal Slides

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Chapter 5 Modules Overview

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Chapter summary

- Topical Issues
- Current and future regulatory developments: UK
- Current and future regulatory developments: EU

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Topical Issues

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Chapter 5

Topical issues

- Your syllabus requires you to keep up to date with regulatory developments
  - No set syllabus for this section
  - Markers will give credit to answers referencing current regulatory developments
- A summary of such topical issues is offered in this course
  - Current UK regulatory developments
  - EU – relevant regulatory developments
- **You need to read around these topics for yourself**
  - Start by having a look at what the manual says
  - Then look at recent examples of Section C style essay questions in your Q&A pack and post exam reports
  - Then *do some of your own research* in areas that interest you

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Current and Future Regulatory Developments: UK

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FCA Strategy

(2.1.5 / 5.1.1) FCA Strategy 2024-25

- FCA Business Plan 2024-5 focuses on three areas
  - Commitment 1: Reducing and preventing financial crime
  - Commitment 2: Putting consumers' needs first
  - Commitment 3: Strengthening the UK's position in global financial markets

- FCA Market Effectiveness Review
  - Continuing evolution of Listing Rules to make them more efficient for companies issuing securities

Other forthcoming UK regulatory reforms

(5.1.2) Wholesale Markets Review

- Determining how much retained EU law needs adapting
  - Recalibrating regulations to suit UK's position as a global capital marketplace
  - Upholding regulatory standards and economic growth

(5.1.3) UK Regulatory Reforms

- Financial Services and Markets Act 2023
  - Ensuring UK financial services regulatory framework is 'fit for purpose' outside the EU
  - A greater focus on growth and competitiveness for the regulators
    - Including a new secondary objective around boosting UK economy's international competitiveness
- Edinburgh Reforms
  - Further attempts to capitalise on post-Brexit freedoms, e.g. by reviewing ringfencing regime for banks

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Current and Future Regulatory Developments: EU

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Other forthcoming EU regulatory reforms

(5.2.1-4) Various EU regulations, taxes and directives

- Review of Central Securities Depositories Regulation (CSDR)
  - Aims to improve the securities settlement process across Europe
  - Introduces a common authorisation, supervision and regulatory framework for CSDs
- European Markets Infrastructure Regulation (EMIR III)
  - Response to risks caused by historic lack of regulation of OTC derivatives markets
- Changes to MiFID II and MiFIR
  - Aimed at improving regulation of wholesale markets
  - Various reforms that will enhance power of European Commission and ESMA, and cause further divergence with UK MiFID regime
- ESG and the Corporate Sustainability Reporting Directive (CSRD)
  - Improving corporate reporting of ESG matters